

FEDERAL MARITIME COMMISSION

ADEBISI A. ADENARIWO

Claimant,

v

BDP INTERNATIONAL, ZIM
INTEGRATED SHIPPING, LTD AND ITS
AGENT (LANSAL) ET AL.

Respondents

Informal Docket
No 1921(I)

Served April 28, 2016

BY THE COMMISSION: Mario CORDERO, *Chairman*,
Rebecca F DYE, Richard A. LIDINSKY, Jr, Michael A. KHOURI,
and William P DOYLE, *Commissioners*

Order to File Supplementary Briefs

On February 20, 2014, the Federal Maritime Commission (FMC or Commission) issued an order affirming the Settlement Officer's (SO) determination that Zim Integrated Shipping, Ltd., (Zim) violated 46 U.S.C. § 41102(c) (section 10(d)(1) of the Shipping Act of 1984 (Shipping Act or Act)) 33 S.R.R. 223 (FMC

2014) The Commission also affirmed the award of \$18,308 94 plus interest in reparations based on the finding that Adebisi Adenariwo (Claimant) could have mitigated his damages by paying the charges invoiced by Zim and obtaining the release of his container, thereby avoiding the selloff of its contents. *Id.* at 224

On March 21, 2014, Claimant filed his petition for review of the Commission's decision¹ with the U S Court of Appeals for the District of Columbia Circuit (Court) The case was argued September 21, 2015, and on December 15, 2015, the Court issued its opinion (Court's Opinion) ordering that the Commission's decision to require mitigation of damages in Informal Docket No 1921(I) be vacated and the case remanded for further proceedings "for the entry of an award by the Commission in favor of petitioner in the full amount of his unmitigated damages." *Adenariwo v FMC*, 808 F.3d 74, 81 (D C Cir 2015)

In light of the Court's Opinion, the Commission requests supplementary briefs be filed with the Commission discussing appropriate damages to be awarded in Informal Docket No 1921(I)

BACKGROUND

Claimant, a principal of MacBride Nigeria Ltd. filed an informal complaint with the FMC on May 3, 2011 Claimant alleged that BDP International, Inc (BDP), Zim, and Zim's agent, Lansal (collectively Respondents) violated various sections of the Shipping Act with respect to their handling of Claimant's cargo Claimant asserted losses of \$240,606 00,² but 46 C.F.R. § 502 301(b) limits

¹ Claimant also petitioned for review of the Settlement Officer's decision in a separate docket, Informal Docket No. 1920(I).

² The monetary damages claimed included the cost of the equipment, lost profits, administrative expenses, "repeat transaction cost" (described as the "cost of starting transaction all over again"), and a capital charge (described as "cost of capital on invested funds based on prevailing bank interest rate"). Compl. at 5, May 3, 2011

the reparations available in informal small claims to a maximum of \$50,000. Thus, Claimant sought \$50,000 in damages from Respondents in Informal Docket No. 1921(I).

On March 7, 2013, a Commission Settlement Officer (SO) issued a Decision (SO Decision) finding that Zim violated 46 U.S.C. § 41102(c) by refusing to release Claimant's container (Container 2) until Claimant paid outstanding demurrage charges on a previously shipped container (Container 1). 33 S.R.R. 503 (SO 2013). The SO awarded Claimant reparations in the amount of \$18,308.94 for the loss of his equipment in Container 2 but denied Claimant the remainder of his requested relief, finding that he could have mitigated his losses by paying the demurrage charges on the two containers, thereby securing the release of Container 2. The SO declined to determine whether the "alleged [damage] values proffered by the claimant were valid" and, instead, based the awarded damages on the amount due for the container's release and the amount Claimant paid for the transportation contract. *Id.* at 511.

The matter came before the Commission on *sua sponte* review requested by a member of the Commission pursuant to 46 C.F.R. § 502.227(d). On February 20, 2014, the Commission issued an order affirming the Settlement Officer's decision. 33 S.R.R. 223 (FMC 2014).

On December 15, 2015, the Court issued its opinion vacating the Commission's decision to require mitigation of damages on Informal Docket No. 1921(I).³ The Court remanded for further proceedings "for the entry of an award by the Commission in favor of petitioner in the full amount of his unmitigated damages." 808 F.3d at 81.

In light of this mandate, the Commission is now requesting supplemental briefs be filed with the Commission discussing the

³ The Court separately dismissed Claimant's petition for review with respect to Informal Docket No. 1920(I) for lack of jurisdiction. 808 F.3d at 79.

In light of this mandate, the Commission is now requesting supplemental briefs be filed with the Commission discussing the appropriate amount of damages Claimant is entitled to in Informal Docket No 1921(I) Arguments should be supported by citation to the record. Absent demonstration of compelling circumstances, no new evidence will be admitted into the record.

ORDER

THEREFORE, IT IS ORDERED, That, Claimant, Adebisi A. Adenariwo, has the option to file a supplemental brief on the appropriate reparation award amount no later than May 31, 2016, and

FINALLY, IT IS ORDERED, That, Respondent, Zim Integrated Shipping Ltd., has the option to file a supplemental brief on the appropriate reparation award amount no later June 20, 2016

By the Commission.

Karen V Gregory
Secretary